

PURCHASE			
Max LTV/CLTV*	Min FICO	Max Ratios	Mortgage/Rental History
100% excluding VA Funding Fee	500	Per AUS**	AUS Accept: per AUS • Manual: 24-month VOR/VOM with 0x30 last 12 months
*Regardless of LTV, the Veteran must have sufficient entitlement to guaranty the loan — see Required Guaranty below.			
**See Debt Ratio below for DTI > 50% and compensating factor requirements.			
Loan MAY exceed 100% CLTV when a UFF-approved Down Payment Assistance program is used in conjunction with the transaction — up to 105%.			

CASH-OUT REFINANCE			
Max LTV/CLTV*	Min FICO	Max Ratios	Mortgage/Rental History
90% including VA Funding Fee	500	Per AUS**	AUS Accept: per AUS • Manual: 24-month VOR/VOM with 0x30 last 12 months
100%*** including VA Funding Fee	641	Per AUS**	AUS Accept: per AUS • Manual: 24-month VOR/VOM with 0x30 last 12 months
*Regardless of LTV, the Veteran must have sufficient entitlement to guaranty the loan — see Required Guaranty below.			
**See Debt Ratio below for DTI > 50% and compensating factor requirements.			
***High LTV option 90.01–100%: conforming loan amounts only (high balance not permitted), 30-year term only.			

MAXIMUM LOAN AMOUNTS	
Continental U.S., Alaska & Hawaii	Per VA loan limits for the maximum conforming loan amounts and maximum high balance loan amounts.
Maximum Loan Amt (Base)	Maximum base loan amount does not include the financed funding fee. If the veteran does not have full entitlement, a down payment may be required and the LTV reduced accordingly — see Required Guaranty. Cash-out refinance LTVs exceeding 90% are limited to conforming loan amounts only (high balance not permitted).

VA FUNDING FEE — APPLIES UNLESS VETERAN IS EXEMPT	
Purchase / Construction	Calculated on the veteran's portion of the loan. Reduced rates apply with a down payment of 5%+ of the purchase price (liquid funds only; borrowed funds are not acceptable to reduce the fee; excludes gift of equity or equity from lease-to-purchase). Active Duty Veteran / Reservist: down payment < 5% — 2.15% first use / 3.30% subsequent use¹; 5% up to 10% — 1.50% / 1.50%; 10%+ — 1.25% / 1.25%. Disabled Veteran (service-connected): 0.00% / 0.00%. ¹ The higher subsequent-use fee does not apply if the veteran's only prior use of entitlement was for a manufactured home not classified as real estate.
Cash-Out Refinance	Reduced funding fee rates do not apply to refinance loans. Active Duty Veteran / Reservist: 2.15% first use / 3.30% subsequent use¹. Disabled Veteran (service-connected): 0.00% / 0.00%. ¹ The higher subsequent-use fee does not apply if the veteran's only prior use of entitlement was for a manufactured home not classified as real estate.

COLLATERAL	
Eligible Collateral	Owner occupied only. 1-4 units, PUDs, condos, manufactured homes (minimum double-wide) permanently affixed to the foundation, built on or after June 15, 1976, meeting VA requirements, and modular homes.
Ineligible Collateral	Mobile homes; single-wide manufactured homes; state-approved medical marijuana producing properties; co-ops; condo hotels; energy efficient mortgages; PACE/HERO-encumbered properties; properties with sink holes; properties serviced by hauled water; properties with cisterns; wastewater stabilization ponds/lagoons; individual water purification systems required for safe drinking water; Hawaii properties with water catchment systems; Hawaiian properties in Lava Zones 1 and 2; and Department of Hawaiian Home Lands (DHHL) loans.
Condos	Must be a VA-approved condominium complex meeting all requirements.
Recent MLS Activity / Listed for Sale	Property cannot be listed for sale at time of application. Underwriter validates MLS cancellation prior to loan application date. Borrower provides an LOE for all MLS activity within 6 months of the application date and a letter confirming intent to retain the property as primary residence.
Appraisal Requirements	VA approved / VA fee panel appraisers. Appraisal expiration is established on the Notice of Value (NOV).
Assisted Appraisal Processing Program	Permitted. A VA appraiser may rely on information from an assisting appraiser who is licensed and knowledgeable of all VA requirements and minimum property standards; the VA appraiser signs as Supervisory Appraiser and remains ultimately responsible. AAPP may not be used for new construction, sales price > \$1,000,000, complex assignments, or Tidewater (value less than sales price).
Limitations on Other R.E. Owned	None.
Multiple Tax Parcels / One Legal Description	On a case-by-case basis, adjacent tax parcels/tracts/lots under one legal description may be allowed. Parcels with a significant divide (river or road) or structures on each parcel are not eligible.

TYPES OF FINANCING	
Purchase Transactions	Permitted — refer to the LTV matrix above.
Down Payment Assistance	Permitted. Requests to review DPA programs for use with UFF agency first mortgage programs may be submitted to UFF for review with the required exhibits.
Cash-Out Refinance / Seasoning	Free-and-clear properties are not permitted — there must be an existing lien on the subject property to pay off. GNMA requires 6 months payment seasoning on the loan being refinanced and 210 days elapsed between the first payment due date of the loan being refinanced and the note date of the new loan; all mortgages on the property must meet seasoning. For Texas requirements, see State Specific below. No maximum cash out up to 90% LTV; LOE required stating cash-out purpose. Modified loans: seasoning is based on the loan as modified, not the original loan (e.g., a loan closed 02/17/2018 with a modification completed 11/05/2019 cannot be refinanced until the 11/05/2019 modification has been seasoned).
Cash-Out Types (Applications 2/15/19+)	Type I: loan amount (including funding fee) does not exceed the payoff of the loan being refinanced. Type II: loan amount (including funding fee) exceeds the payoff of the loan being refinanced.
LTV Limitation	For Type I and Type II cash-outs, VA will not guaranty refinances where LTV exceeds 100% including the funding fee. LTVs exceeding 90% are limited to conforming loan amounts (high balance not permitted), 30-year term, minimum FICO 641.
Loan Comparison Statement	For Type I and Type II cash-outs, the Veteran must receive a Comparison of Loan Characteristics and Net Tangible Benefit disclosure, signed and acknowledged, no later than the third business day after the application is received and again at loan closing.
Net Tangible Benefit	The loan must meet at least one of the following: eliminates monthly mortgage or guaranty insurance; shorter term than the remaining term; lower interest rate; lower P&I payment; increases the borrower's monthly residual income; refinances an interim construction/alteration/repair loan; new loan amount ≤ 90% of the reasonable value of the home; or refinances an ARM to a fixed rate. Refer to UFF VA underwriting guidelines for additional NTB requirements.
VA-to-VA Type I Restrictions	Fee recoupment: all fees, expenses, and closing costs included in the loan amount and paid outside of closing must be recouped through lower P&I payments within 36 months of closing. Interest rate reduction: when refinancing a current fixed-rate VA-guaranteed loan, the new rate must be at least 0.5% (50 bps) lower than the rate being refinanced.

CREDIT	
Non-Traditional Credit	Borrowers with no established credit references may be eligible using non-traditional references: minimum 3 references each rated for 12 months. No housing lates and maximum 1x30 on the other references in the previous 12 months; no major adverse or public records filed in the last 12 months. All non-traditional loans require manual underwrite; maximum financing is allowed. Follow standard VA guidelines per the VA Lender's Handbook.
CAIVRS	CAIVRS clearance must be obtained for all borrowers on the transaction.
Social Security Numbers	Required for all borrowers.
Collections / Charge-Offs	Collection accounts are part of the borrower's overall credit history; unpaid collections are considered open, recent credit. Borrowers with a collection history should have re-established satisfactory credit. If a collection lists a minimum payment, qualify at that amount or verify the collection is not in repayment (e.g., credit supplement showing "not in repayment" or \$0/month). Manual underwrites: medical collections > \$10,000 may be required to be paid prior to or at closing; non-medical collections > \$7,500 may be required to be paid prior to or at closing; manual underwrites with non-medical collections > \$7,500 and DTI > 41% require a minimum of 2 compensating factors.
Re-Established Credit	Outside bankruptcy, satisfactory credit is generally considered re-established after the veteran (or veteran and spouse) makes satisfactory payments for 12 months after the date the last derogatory item was satisfied.
Bankruptcy	Chapter 7 discharged for 24 months. Discharged Chapter 13 requires 12 months satisfactory pay history and court permission to enter the transaction.
Judgments / Liens	All outstanding judgments and liens must be paid prior to or at closing — including judgments and tax liens of a non-purchasing spouse.
Foreclosure	Must be > 2 years from the date of trustee's deed. Documentation is required; a credit report alone is unacceptable (CAIVRS if applicable). If the property was surrendered in bankruptcy, use the earlier of the BK discharge or trustee's deed date to start seasoning.
Deed-in-Lieu / Short Sales	If the borrower's payment history was not affected before the short sale or deed-in-lieu and the borrower was voluntarily communicating with the servicer or holder, a waiting period from the property transfer date may not be necessary.
Consumer Credit Counseling (CCCS)	Accounts in a CCCS plan remaining open after closing require 12 months satisfactory payments under the plan and counseling agency approval of the new mortgage. Accounts no longer in CCCS because they are paid in full prior to or at closing are not subject to these requirements.
Late Payments	VA credit standards apply.
FICO	Minimum FICO 500.
Minimum Payment	5% of outstanding balance for revolving accounts if no payment is indicated.
Minimum Tradelines	AUS — no specific requirement; must meet the minimum FICO and receive AUS approval. Manual — see non-traditional credit and insufficient credit requirements. Authorized-user tradelines are not acceptable for establishing credit history and may invalidate the FICO score.
Mortgage / Rental History	AUS: mortgages must be rated for 24 months; rental rating not required; downgrade required if housing delinquency exceeds 1x30 in the previous 12 months. Manual: mortgage and rental payments rated for 24 months; max 0x30 last 12 months. Housing lates in months 13–24 require a thorough borrower explanation addressing why the lates occurred and what changed to prevent recurrence, consistent with file documentation.
Non-Purchasing Spouse	Credit report required in community property states. Debts added to the DTI and the veteran's capacity to address unpaid collections and judgments considered. May be added to title on a purchase or remain on title when refinancing; no party other than the borrower or their spouse may have a vested interest.
Community Property States	AZ, CA, ID, LA, NV, NM, TX, WA, and WI.

RESIDUAL INCOME REQUIREMENTS	
Loan Amounts \$79,999 & Below	Family size 1: NE \$390 / MW \$382 / S \$382 / W \$425. Size 2: \$654 / \$641 / \$641 / \$713. Size 3: \$788 / \$772 / \$772 / \$859. Size 4: \$888 / \$868 / \$868 / \$967. Size 5: \$921 / \$902 / \$902 / \$1,004. Above 5: add \$75 per additional member up to a family of seven.

RESIDUAL INCOME REQUIREMENTS	
Loan Amounts \$80,000 & Above	Family size 1: NE \$450 / MW \$441 / S \$441 / W \$491. Size 2: \$755 / \$738 / \$738 / \$823. Size 3: \$909 / \$889 / \$889 / \$990. Size 4: \$1,025 / \$1,003 / \$1,003 / \$1,117. Size 5: \$1,062 / \$1,039 / \$1,039 / \$1,158. Above 5: add \$80 per additional member up to a family of seven.
Regions	States are broken down by region — check with Underwriting for the breakdown.

INCOME / ASSETS	
Debt Ratio	AUS Approve/Eligible — follow AUS findings for DTI ≤ 50%; DTI > 50% requires a minimum of 2 compensating factors regardless of findings. Manual — max DTI 41%; may exceed with compensating factors; DTI > 50% requires a minimum of 3 compensating factors and UW Manager second signature. All loans must meet residual income requirements regardless of DTI or AUS approval; debt ratios exceeding 41% must meet 120% of the residual income guideline. Refer to UFF lending guide for VA acceptable compensating factors.
Non-Taxable Income	Social Security, pension, workers comp, and disability retirement income may be grossed up 125%. BAS/BAH allowances and VA disability income verified through a COE may be grossed up without tax returns; any other income potentially subject to taxation should be validated with tax returns prior to grossing up.
Income	Residual income requirements apply and vary by region, loan amount, and property type — see matrix above.
Assets	Sufficient assets to close required. Non-liquid accounts may not be used for cash to close or reserves; liquidated funds may be used if liquidation and deposit into a demand deposit account are documented. Large or excessive deposits must be sourced and seasoned.
Debt Payoff / Paydown to Qualify	Accounts not required to be closed. Revolving payoff allowed if paid in full prior to or at closing; payoff and zero balance documented directly from credit or paid on the CD.
Documentation / 4506-C	Full income documentation loans only. A final IRS Form 4506-C is signed with the closing documents.
Minimum Reserves	Generally not required unless qualifying with rental income. Rental income from a 2–4 unit subject property: 6 months PITI reserves. Rental income from other REO: 3 months PITI reserves for each REO property. If the veteran qualifies with full PITI payments, no reserves required.
Gifts	Acceptable. Gift of equity is not permitted. Gift funds may not be used as reserves.
Non-Occupant Co-Borrower	Not permitted.
Buyer Contribution	No minimum investment for veterans with full entitlement. For partial entitlement, see Required Guaranty.
Seller Contribution	Seller can pay 100% of discount points and the borrower's non-recurring closing costs, plus an additional amount up to 4% of the estimated reasonable value toward prepaid expenses and funding fee. Maximum seller concession is 4%. Concessions include (not limited to): payment of the buyer's VA funding fee; prepayment of taxes and insurance; gifts such as a television or microwave; extra points for permanent buydowns; escrowed funds for temporary buydowns; and payoff of credit balances or judgments on the buyer's behalf. Concessions do not include payment of the buyer's closing costs or points as appropriate to the market.

GENERAL	
Required Guaranty	A 25% guaranty is required. Purchases: combined entitlement and down payment must total 25% of the lesser of purchase price or appraised value. Refinances: combined entitlement and equity must total 25% of the appraised value. • Loan amounts up to \$144,000: only the first \$36,000 of basic entitlement may be used. If no basic entitlement is available, a VA loan is not possible; with partial entitlement, down payment or equity may be required to obtain a 25% guaranty. • Loan amounts over \$144,000 — full entitlement: VA will guaranty 25% of the purchase or cash-out loan regardless of the county conforming limit; no down payment or equity required, but UFF maximum loan amount and LTV limits must be met. Partial entitlement: VA will guaranty 25% of the lesser of the loan amount or the 1-unit county conforming limit, less used entitlement; down payment or equity may be required.
Superior VA Lien	VA regulations require every VA loan to be secured by a first lien on the property except under limited circumstances (38 CFR 36.4351 and 38 CFR 36.4352).

GENERAL	
Underwriting	Underwritten by a VA Automatic & LAPP approved underwriter. AUS approval may follow documentation requirements; manual underwrites follow standard VA documentation requirements. If VA prior approval is required, additional underwriting turn time applies.
VA Prior Approval Required	Veterans in receipt of VA non-service related pension; joint loans to two or more unmarried co-borrowers where at least one borrower will not use entitlement (by exception only — management review for required equity).
Borrower Eligibility	Determined by VA and documented on the COE, which must be dated within 90 days of closing. An un-remarried surviving spouse applies with VA Form 26-1817. The COE must reflect sufficient available entitlement to meet the minimum 25% guaranty, or equity may be required. Any veteran using entitlement must occupy the subject property.
Manual Underwrite	Loans receiving an AUS Refer, and borrowers with no established traditional credit or insufficient credit, may be eligible for a manual underwrite.
Loan Terms Available	Purchase up to 100% LTV and cash-out up to 90% LTV: 30-, 25-, 20-, and 15-year fixed. Cash-out exceeding 90% LTV: 30-year fixed.
Qualifying Fixed Products	Qualify at note rate.
Temporary Interest Rate Buydowns	Purchase only. Terms: 3-year (3-2-1), 2-year (2-1), and 1-year (1-0). Buydown fee must be seller-paid within the 4% seller concession limit; borrowers qualify at the note rate. Not permitted for refinances.
Co-Borrowers	Must be the veteran's spouse or a second veteran with a certificate of eligibility. Any co-borrower must occupy the subject property.
Assumptions	Permitted.
Escrow Waivers	All states excluding DC: not permitted. DC loans: property tax and/or insurance escrows may be waived if LTV is 80% or lower.
Prepayment Penalty	Not permitted.
VA Exemption — County Property Taxes	Disabled veterans may be exempt from county property taxes. UFF requires: proof of 100% disability from VA; copy of the completed County Application for Property Tax Exemption (if notarization is required, obtain an unsigned copy conditioned to be signed at closing); and a signed LOE from the veteran advising they are solely responsible for payment of property taxes owed for the prior owner.
Texas Refinance Transactions	Permitted in Texas as long as there is no prior TX A6 transaction (no cash out ever) to the borrower. No cash back to borrower, no payoff of consumer debt, limited to existing indebtedness on first lien and purchase money second; may receive \$0 funds; any excess must be applied as a principal reduction.